STEP 1.2 · FOUNDATIONS

Vision, Mission & Objectives

Where the company is going, why it exists today, and how you measure whether it is getting there.

Strategic Management

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CONCEPT 01

The Four Components of Organisational Direction

Before executing strategy, every organisation must establish direction. Four components work together — each answers a different question and none substitutes for the others:

Component	The question it answers	Time focus
Strategic Vision	Where are we going and why?	Long-term future
Mission Statement	What do we do right now, and for whom?	Present day
Core Values	What principles govern how we behave?	Ongoing
Objectives	What specific results must we achieve?	Short and long-term

CONCEPT 02

Strategic Vision

A strategic vision describes management's aspirations for the company's future and the course charted to achieve them. It answers *where are we going?* — not what the company does today.

A good vision is specific enough to guide resource allocation decisions, forward-looking (not a description of current operations), feasible, and short enough to be memorable. Generic superlatives — 'be the best', 'lead the industry' — tell no one where to go.

> **Exam test: does the statement describe a future destination with enough specificity to guide decisions? If it could belong to any company in any industry, it has failed as a vision.**

CONCEPT 03

Mission Statement

The mission is grounded in the present. It answers *what do we do, for whom, and how?* A well-crafted mission identifies the products or services offered, the needs satisfied, the customer groups served, and what sets the organisation apart from rivals.

Vision vs. Mission — The Key Distinction

	Vision	Mission
Time	Future state — where we are going	Present state — why we exist today
Core question	Where are we headed?	What do we do, for whom, and how?
Exam test	Forward-looking and specific enough to guide decisions?	Describes current purpose, scope, and what sets the organisation apart?

> The most common exam error: confusing vision and mission. A mission written in the future tense is probably a vision. A vision describing current operations is probably a mission. Pin each to its question before analysing it.

> *Zanaco was originally established to extend banking to Zambians excluded from commercial banks. It has since grown into one of the country's largest banks with retail, corporate, and mobile arms. Draft a one-sentence mission statement for Zanaco as it operates today. Then assess: 'To be the most trusted and accessible bank in Zambia' — is this a vision, a mission, or neither? What is missing?*

CONCEPT 04

Core Values

Core values are the beliefs and behavioural norms employees are expected to display in pursuing the firm's vision and mission. When leadership genuinely models them, they become the reference point for decisions in situations where no rule exists. Values that conflict with strategy create internal contradiction — and values that leadership does not live destroy credibility faster than having none at all.

CONCEPT 05

Setting Objectives

Objectives convert vision and mission into measurable targets. Without them, the vision has no way to track whether the organisation is moving toward it.

Financial vs. Strategic Objectives

Type	Targets	Example
Financial	Revenue, profit, margins, return on investment, cash flow.	ZESCO: ZMW 2.4 billion revenue, 18% operating margin by year-end.
Strategic	Market position, customer relationships, product capability — the non-financial drivers of future performance.	ZESCO: 85% rural electrification coverage within five years.

Financial results are **lagging indicators** — they reflect decisions made months ago. Strategic objectives are **leading indicators**: winning on market standing and customer satisfaction today predicts financial performance tomorrow. Optimising only for financial targets at the cost of strategic ones is how companies post strong short-term results while eroding long-term position.

Well-Stated Objectives — Four Requirements

- **Specific** — precise enough that everyone agrees on what success looks like.
- **Measurable** — a number or observable milestone, not a direction.
- **Challenging** — ambitious enough to push performance, not so easy it creates complacency.
- **Time-bound** — a deadline, not an open-ended aspiration.

Stretch objectives push targets high enough to force creative thinking about how to achieve results, not just whether to aim for them. A company with **strategic intent** commits its full resources relentlessly to one ambitious long-term goal — it functions as an obsession that focuses the whole organisation.

The Balanced Scorecard

The Balanced Scorecard prevents the failure of hitting financial targets while eroding the foundations that sustain them. It tracks performance across four perspectives:

Perspective	What it measures
Financial	Revenue, profit, return on investment.
Customer	Market share, retention, satisfaction.
Internal Processes	Efficiency, quality, speed of delivery.
Learning and Growth	Employee capability, technology, culture.

> Exam tip on the Balanced Scorecard: why are financial objectives alone insufficient? Because they are lagging. The other three perspectives show whether the organisation is building or eroding the capacity to perform financially in the future.

> *First Quantum Minerals consistently meets annual financial targets — copper volume, revenue, and cost per tonne all on track. But it repeatedly misses strategic objectives on community investment, local supplier development, and environmental rehabilitation. Management says: 'the financials prove we are executing well.' Using the theory from this step, explain what is actually happening and where this company is likely to be in ten years if the pattern continues.*

Whether those objectives are the right ones — whether the targets the organisation is chasing match the world it is actually competing in — is a separate question. That's what environmental analysis examines.

REFERENCE

Key Terms

Term	Definition
Strategic Vision	Management's aspirations for the company's future and the course charted to achieve them — answers 'where are we going?'
Mission Statement	The company's current purpose — what it does, for whom, and how — answers 'why do we exist today?'
Core Values	Beliefs and behavioural norms employees display in pursuing the firm's vision and mission
Objectives	Specific, measurable performance targets that convert vision and mission into trackable results
Financial Objectives	Targets for revenue, profit, margins, and return on investment — lagging indicators
Strategic Objectives	Targets for market position, customers, and capability — leading indicators of future financial performance
Stretch Objectives	Targets set beyond current comfortable reach to push the organisation to its full potential
Balanced Scorecard	Framework tracking performance across financial, customer, internal processes, and learning and growth perspectives

OUTCOMES

What You Should Now Be Able to Do

1. Name the four components of organisational direction and state the question each one answers

2. Define strategic vision, state the requirements of an effective vision statement, and identify common pitfalls
3. Distinguish precisely between vision and mission — what each answers and how each is tested in exams
4. Distinguish financial from strategic objectives, explain why financial results are lagging indicators, and explain why both types are necessary
5. Explain stretch objectives, strategic intent, and the purpose of the Balanced Scorecard